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CCS (Payment of Gratuity under NPS) Rules, 2021

(As amended up to G.S.R. 258(E) dated 24.04.2025)

DISCLAIMER

This booklet has been prepared strictly from an examination point of view. While every effort has been made to ensure accuracy and the inclusion of recent changes, amendments, and updates to the relevant Acts, Rules, and Regulations — including the CCS (Payment of Gratuity under NPS) Amendment Rules, 2025 (G.S.R. 258(E) dated 24.04.2025) and subsequent DoPPW Office Memoranda up to December 2025 — this document is intended as a study aid only. Readers and students are strongly recommended to refer to official government sources or gazettes for the most reliable and authoritative information.

Recent Updates Incorporated

This edition consolidates the principal rules notified on 23.09.2021 with every subsequent statutory amendment and executive instruction issued up to the date of compilation. The key sources folded in are:

Statutory Amendment — G.S.R. 258(E) dated 24.04.2025

CCS (Payment of Gratuity under National Pension System) Amendment Rules, 2025, notified by the Ministry of Personnel, Public Grievances and Pensions (Department of Pension & Pensioners' Welfare) vide F. No. 59/03/2019-P&PW(B). The amendment came into force on the date of its publication in the Official Gazette, i.e., 24th April 2025, and substantially restructures Rules 2, 3, 4, 5, 6, 7, 9, 12, 13, 14, 17, 18, 19, 21, 22, 23, 24, 25, 28, 29, 30, 31, 32, 33, 35, 41, 42, 43, 44, 45, 46, 47, 48, 49, 50, 53 and 54, and inserts new Rules 4A, 9A, 9B and 32A.

Executive Instructions — DoPPW Office Memoranda

DoPPW OM No. 7/5/2012-P&PW(B) dated 12.02.2020 — Counting of past service for gratuity purposes under NPS where the Government servant has rendered service under a State Government followed by Central Government service; combined gratuity ceiling.

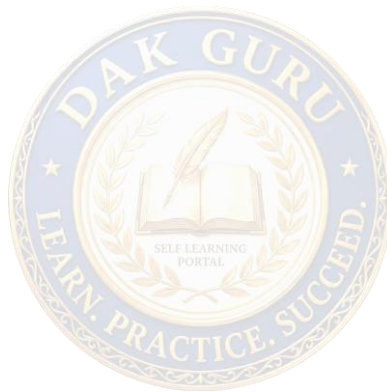
DoPPW OM No. 28/03/2024-P&PW(B)/Gratuity/9559 dated 30.05.2024 — Enhancement of the maximum limit of Retirement Gratuity and Death Gratuity from ₹20 lakh to ₹25 lakh w.e.f. 01.01.2024, triggered by Dearness Allowance reaching 50%.

DoPPW OM No. 57/01/2025-P&PW(B)/UPS/10498 dated 18.06.2025 — Extension of the benefit of Retirement Gratuity and Death Gratuity under these rules to Central Government employees opting for the Unified Pension Scheme (UPS) introduced under the Department of Financial Services Notification No. FS-1/3/2023-PR dated 24.01.2025 (effective 01.04.2025).

DoPPW OM No. 2/8/2025-P&PW(F)/11164 dated 24.10.2025 — Clarification that resignation (other than technical resignation under Rule 17(2), deemed retirement under Rule 17(5), or absorption under Rule 32) entails forfeiture of past service and no gratuity is payable.

DoPPW OM No. 2/9/2025-P&PW(F)/11185 dated 24.10.2025 — Clarification on coverage: the enhanced ₹25 lakh ceiling and the gratuity rules apply only to Central Government civilian employees governed by the CCS (Pension) Rules, 2021 and the CCS (Payment of Gratuity under NPS) Rules, 2021. They are not applicable to societies, banks, port trusts, RBI, PSUs, autonomous bodies, universities, etc., which are governed by their own regulations.

DoPPW OM No. 28/03/2025-P&PW(B)/10865 dated 26.12.2025 — Clarification on Rule 4A: gratuity drawn for military service shall not be counted while applying any limitation on gratuity payable for subsequent civil government service; the OM also consolidates the position on PSU/autonomous body and State Government past service.



Chapter I — Preliminary

Rule 1 — Short title and commencement

(1) These rules may be called the Central Civil Services (Payment of Gratuity under National Pension System) Rules, 2021.

(2) They shall come into force on the date of their publication in the Official Gazette, i.e., 23rd September 2021.

Rule 2 — Application

Save as otherwise provided in these rules, these rules shall apply to the Government servants including civilian Government servants in the Defence Services, appointed substantively to civil services and posts in connection with the affairs of the Union on or after the 1st day of January 2004, and to whom the Central Civil Services (Implementation of National Pension System) Rules, 2021 apply:

Provided that in the case of a Government servant who dies during service or is boarded out on account of disablement or retires on invalidation and who had exercised option under rule 10 of the Central Civil Services (Implementation of National Pension System) Rules, 2021 for availing benefits under *the Central Civil Services (Pension) Rules, 1972 or the Central Civil Services (Extraordinary Pension) Rules, 1939 or the Central Civil Services (Pension) Rules, 2021 or the Central Civil Services (Extraordinary Pension) Rules, 2023*, payment of gratuity shall be made in accordance with the said rules.

Amendment Note — Rule 2 (G.S.R. 258(E) dated 24.04.2025)

The proviso to Rule 2 was expanded to additionally cover the CCS (Pension) Rules, 2021 and the CCS (Extraordinary Pension) Rules, 2023, aligning the proviso with the current pension and extraordinary-pension framework.

Rule 3 — Definitions

In these rules, unless the context otherwise requires —

- (a) “Accounts Officer” means an officer, whatever his official designation, of a Ministry or Department functioning under the scheme of departmentalisation of accounts, who, inter alia, is responsible for receipts, payments, internal audit

and accounting functions of an office or Department or Ministry of the Central Government or Union territory, and includes officers subordinate to the Accountant General entrusted with the function of maintaining the accounts or part of accounts of the Central Government or Union territory;

- (b) “allottee” means a Government servant to whom Government accommodation has been allotted on payment of licence fee or otherwise;
- (c) “average emoluments” means average emoluments as determined in accordance with rule 7;
- (d) “emoluments” means emoluments referred to in rule 6;
- (e) “Form” means a Form appended to these rules;
- (f) “Government” means the Central Government;
- (g) “Government dues” means dues referred to in sub-rule (3) of rule 45;
- (h) “gratuity” includes **retirement gratuity, death gratuity and residuary gratuity** payable under these rules;
- (i) “Minor” means a person who has not completed the age of eighteen years;
- (j) “qualifying service” means the service rendered while on duty or otherwise which shall be taken into account for the purpose of payment of gratuity admissible under these rules;
- (k) “Service Book” includes service roll, if any.

Words and expressions used herein and not defined but defined in the Fundamental Rules, 1922 or the Central Civil Services (Implementation of National Pension System) Rules, 2021 shall have the meanings respectively assigned to them in those rules.

Amendment Note – Rule 3(h) (G.S.R. 258(E) dated 24.04.2025)

The definition of “gratuity” in clause (h) was substituted to additionally include residuary gratuity (the deficiency made good under Rule 22 where the Government servant dies within five years from the date of retirement and the sums received fall short of twelve times the emoluments).

Chapter II — General Conditions

Rule 4 — Regulation of claims to gratuity

(1) Any claim to gratuity shall be regulated by the provisions of these rules in force at the time when a Government servant retires or is retired or is discharged or is allowed to resign from service or dies, as the case may be.

(2) The day on which a Government servant retires or is retired or is discharged or is allowed to resign from service, as the case may be, shall be treated as his last working day, and the date of death of a Government servant shall also be treated as a working day.

Provided that in a case where the Government servant immediately before his retirement or death was absent from duty on leave or otherwise or under suspension, the day of retirement or death shall be part of such leave or absence or suspension.

Amendment Note — Rule 4(2) (G.S.R. 258(E) dated 24.04.2025)

A new proviso was inserted to clarify that where the Government servant was on leave, absent or under suspension immediately before retirement or death, the day of retirement or death shall be treated as part of such leave, absence or suspension.

Rule 4A — Limitations on amount of gratuity

A Government servant who, having retired on superannuation gratuity or retiring gratuity or compulsory retirement gratuity, or who is in receipt of a compassionate gratuity on having been dismissed or removed from service, is subsequently re-employed, shall not be entitled to a separate gratuity for the period of his re-employment:

Provided that a Government servant who was previously appointed in an autonomous body or a public sector undertaking and was subsequently appointed, with proper permission of that body or undertaking, in the Government service, shall be eligible for gratuity for the service rendered in the Government in addition to the gratuity, if any, received by him from the autonomous body or the public sector undertaking for the service rendered in that body or undertaking:

Provided further that the total amount of gratuity in respect of the service rendered in the autonomous body or the public sector undertaking and the service rendered under the

Government shall not exceed the amount that would have been admissible taking into account the entire service rendered by the Government servant in the autonomous body or the public sector undertaking and the Government and the emoluments on retirement from Government.

Explanation 1

A Government servant shall be deemed to have been appointed in the Government with proper permission if he had applied for the service or post in the Government with previous permission of the autonomous body or the public sector undertaking and the order of the autonomous body or the public sector undertaking clearly indicates that the employee is resigning to join the post in the Government with proper permission of the autonomous body or the public sector undertaking, as the case may be.

Explanation 2

Gratuity, if any, on account of service rendered in an autonomous body or a public sector undertaking shall be paid by the concerned autonomous body or the public sector undertaking itself, and there shall be no liability on the part of the Government towards gratuity for the service rendered by the Government servant in the said autonomous body or the public sector undertaking before joining service under the Government.

New Rule — Rule 4A (Inserted by G.S.R. 258(E) dated 24.04.2025)

This is an entirely new rule that bars a second gratuity on re-employment after one has already been drawn, while preserving eligibility for those who moved from an autonomous body or PSU into Government service with proper permission, subject to a combined ceiling.

Military Service Clarification (DoPPW OM dated 26.12.2025): In OM No. 28/03/2025-P&PW(B)/10865 dated 26.12.2025 (issued in consultation with the Ministry of Finance, Department of Expenditure vide ID Note No. 1(8)/E.V/2025 dated 11.11.2025), it has been clarified that — similar to the position under the CCS (Pension) Rules, 2021 — the gratuity for service rendered after re-employment in civil service or post under these rules shall **not be subject to any limitation** with reference to the gratuity drawn for military service. The same OM consolidates the position on PSU/autonomous body and State Government past service, including the State + Central combined gratuity ceiling under DoPPW OM No. 7/5/2012-P&PW(B) dated 12.02.2020.

Rule 5 — Right of the competent authority to withhold gratuity

Sub-rule (1) — The following authorities shall be the competent authorities to order withholding or recovery from gratuity —

- (a) the **President**, in the case of a Government servant who retired from a post for which the President is the appointing authority;
- (b) the **Secretary of the Administrative Ministry or Department**, in the case of a Government servant who retired from a post for which an authority subordinate to the President is the appointing authority; and
- (c) the **Comptroller and Auditor-General of India**, in the case of a Government servant who retired from the Indian Audit and Accounts Department from a post for which an authority subordinate to the President is the appointing authority;

may, by order in writing, withhold gratuity either in full or in part and order recovery from gratuity of the whole or part of any pecuniary loss caused to the Government, if in any departmental proceedings or judicial proceedings, the retired Government servant is found guilty of grave misconduct or negligence during the period of service:

Provided that the Union Public Service Commission shall be consulted before any final order is passed by the President under this sub-rule.

Sub-rule (5) — Grounds for action

Action under sub-rule (1) may be taken if the retired Government servant is found guilty of —

- (i) any corrupt practices during service;
- (ii) any misconduct whether in relation to the performance of official duty or otherwise; and
- (iii) any misconduct whether resulting in pecuniary loss to the Government or otherwise.

Appeals and review

- (c) No appeal shall lie against any order made by the President under this rule.
- (d) An appeal against an order under sub-rule (1) passed by an authority other than the President shall lie to the President, and the President shall, in

consultation with the Union Public Service Commission, pass such orders on the appeal as he deems fit.

The President may at any time, either on his own motion or otherwise, call for the records of any inquiry and revise any order made under these rules, after consultation with the Union Public Service Commission, and may confirm, modify or set aside the order, or remit the case to any authority directing such authority to make such further enquiry as it may consider proper:

Provided that no order enhancing the amount of gratuity to be withheld or withdrawn shall be made by the President unless the Government servant concerned has been given a reasonable opportunity of making a representation against the order proposed, and except after consultation with the Union Public Service Commission.

Explanation

- **(1)(a)** Departmental proceedings shall be deemed to be instituted on the date on which the statement of charges is issued to the Government servant or, if the Government servant has been placed under suspension from an earlier date, on such date.
- **(b)** Judicial proceedings shall be deemed to be instituted — (i) in the case of criminal proceedings, on the date on which the complaint or report of a police officer, of which the Magistrate takes cognizance, is made; and (ii) in the case of civil proceedings, on the date the plaint is presented in the court.
- **(2)** “Misconduct” means any act done or omitted to be done by the Government servant during the period of service in violation of any provisions of the CCS (Conduct) Rules, 1964 for which action under the CCS (CCA) Rules, 1965 may be taken during the period of service.
- **(3)** “Civil proceedings” means such proceedings in respect of a civil suit filed by the Government only.

Amendment Note — Rule 5 (G.S.R. 258(E) dated 24.04.2025)

Sub-rule (1) was substituted to expand the universe of competent authorities beyond the President to include the Secretary of the Administrative Ministry/Department and the C&AG of India.

Sub-rule (5) was substituted to specify three distinct grounds: corrupt practices, misconduct, and misconduct resulting in pecuniary loss.

New clauses (c) and (d) of sub-rule (2) provide that no appeal lies against an order of the President, but an appeal against an order of any other competent authority lies to the President (in consultation with UPSC).

A fresh Explanation defines departmental proceedings, judicial proceedings, misconduct and civil proceedings.

Chapter III – Emoluments and Average Emoluments

Rule 6 – Emoluments

(1) The expression “emoluments” for the purpose of determining the amount of gratuity payable under these rules shall include the basic pay as defined in rule 9(21)(a)(i) of the Fundamental Rules, 1922, which a Government servant was receiving immediately before his retirement or on the date of his death, and shall also include non-practising allowance granted to medical officers in lieu of private practice.

***Explanation.** Stagnation increment shall be treated as emoluments for calculation of gratuity.*

(2) If a Government servant immediately before his retirement or death while in service had been absent from duty on leave for which leave salary is payable, **or on extraordinary leave on medical certificate** or had been suspended and reinstated without forfeiture of service, the emoluments which he would have drawn had he not been absent from duty or suspended shall be the emoluments for the purposes of this rule:

Provided that any increase in pay (other than the increment referred to in sub-rule (5) and the notional increase in pay referred to in sub-rule (9) or sub-rule (10)) which is not actually drawn shall not form part of his emoluments.

(3) Where a Government servant immediately before his retirement or death while in service was on **leave** and earned an increment which was not withheld, such increment, though not actually drawn, shall form part of his emoluments.

(4) Pay drawn by a Government servant while on deputation **to an ex-cadre post in the same or some other Department of the Government** shall be treated as emoluments.

Provided that in the case of a Government servant while on leave after release from the ex-cadre post on completion of the period of deputation, the pay which he would have drawn in the parent department had he not been on leave shall be treated as emoluments.

(5) The pay drawn by a Government servant while on deputation to a State Government or while on foreign service shall not be treated as emoluments, but the pay which he would have drawn under the Central Government had he not been on deputation to the State Government or on foreign service shall alone be treated as emoluments.

(6) Pay drawn by a Government servant in a substantive post to which he reverted from a higher officiating post on the abolition of the higher post or otherwise prior to his retirement from Government service **elected to retain his pension for earlier service** shall be treated as emoluments for the purpose of this rule.

Sub-rule (9) – Notional pay increases (inserted by 2025 Amendment)

Where the pay of a Government servant is notionally increased with retrospective effect in any of the following circumstances after his retirement, such notional pay shall be treated as emoluments —

- (i) the pay scale of the post from which the Government servant retired is increased with retrospective effect from a date when the retired Government servant was in service and his pay in the higher pay scale is fixed from such date on notional basis;
- (ii) the retired Government servant is promoted from a retrospective date on the recommendation of a Review Departmental Promotion Committee or on exoneration in any departmental proceedings or in compliance with a court order, and the benefit of fixation of pay is allowed on notional basis from the date of such promotion.

Sub-rule (10) – Death during currency of penalty (inserted by 2025 Amendment)

Where a Government servant dies during the currency of a penalty which has the effect of reducing his pay only during the currency of that penalty, and on expiry of which he would have regained the pay admissible to him without any impact of the

said penalty, the notional pay on the date of death ignoring the effect of such penalty shall be treated as emoluments.

Amendment Note — Rule 6 (G.S.R. 258(E) dated 24.04.2025)

Sub-rule (2) now expressly includes extraordinary leave on medical certificate.

Sub-rule (5) — the words “earned leave” were replaced with “leave” and the 120-day proviso was omitted.

Sub-rule (6) — deputation provision was rewritten to apply to ex-cadre posts in the same or another Department, with a new proviso for post-deputation leave.

Sub-rule (7) was substituted to provide that deputation pay drawn under a State Government or in foreign service shall not be treated as emoluments — the notional Central Government pay shall be used instead.

Sub-rules (9) and (10) — entirely new provisions on notional pay increases (retrospective revisions / Review DPC / court-ordered exoneration) and death during currency of penalty.

Rule 7 — Average emoluments

(1) Average emoluments shall be determined with reference to the emoluments drawn by a Government servant during the last ten months of his service.

If during the last ten months of his service a Government servant had been absent from duty on leave for which leave salary is payable, or on extraordinary leave on medical certificate, or had been suspended and reinstated without forfeiture of service, the emoluments which he would have drawn had he not been absent or suspended shall be taken into account for determining the average emoluments:

Provided that any increase in pay (other than the increment referred to in sub-rule (4) and the notional increase in pay referred to in sub-rule (5) or sub-rule (6)) which is not actually drawn shall not form part of his emoluments.

Illustration (inserted by 2025 Amendment)

A Government servant retires on 16th July 2019. The last ten months comprise nine full months and fractions of 14 days of September 2018 and 16 days of July 2019. The emoluments for the fractional periods shall be computed by multiplying the emolument by the factor $14/30$ and $16/30$ irrespective of the number of days in the

month. This formula shall also apply in the case of the month of February, irrespective of whether the month has 28 or 29 days.

Sub-rule (5) — Notional pay during last ten months (inserted by 2025 Amendment)

Where the pay of a Government servant is notionally increased with retrospective effect during the last ten months of his service in either of the circumstances described in Rule 6(9) above, such notional pay shall be taken into account for determining the average emoluments.

Sub-rule (6) — Death during penalty (inserted by 2025 Amendment)

Where a Government servant dies during the currency of a penalty reducing pay only during the penalty, the notional pay during the last ten months ignoring the effect of such penalty shall be taken into account for determining the average emoluments.

Important — Relevance of Average Emoluments to Gratuity

Gratuity under Rule 22 is calculated on emoluments (Rule 6) — i.e., last drawn basic pay plus DA — not on average emoluments. Rule 7 (average emoluments) is preserved in these rules primarily for residual computations and for cases where the rules expressly reference average emoluments. For routine retirement / death gratuity computation, the last-drawn emoluments under Rule 6 read with the proviso to Rule 22(2) (DA admissible on the date of retirement or death) are the operative measure.

Chapter IV – Qualifying Service

Rule 8 – Commencement of qualifying service

Subject to the provisions of these rules, qualifying service of a Government servant shall commence from the date he takes charge of the post to which he is first appointed either substantively or in an officiating or temporary capacity:

Provided that officiating or temporary service is followed without interruption by substantive appointment in the same or another service or post.

Rule 9 – Conditions subject to which service qualifies

The service of a Government servant shall not qualify unless his duties and pay are regulated by the Government, or under conditions determined by the Government.

Explanation. “Service” means service under the Government and paid by that Government from the Consolidated Fund of India or a Local Fund administered by that Government.

Amendment Note – Rule 9(2) (G.S.R. 258(E) dated 24.04.2025)

Sub-rule (2) of the principal Rule 9 (which earlier dealt with continuous service rendered under a State Government in an officiating, temporary or substantive capacity prior to permanent transfer) has been omitted, and its subject-matter has been migrated to the new Rule 9A in a more comprehensive form.

Rule 9A – Service in State Governments (New, inserted 24.04.2025)

(1) Where a Government servant belonging to a State Government — in which provisions of retirement gratuity and death gratuity similar to these rules exist — is permanently transferred to a service or post to which these rules apply, the continuous service rendered under the State Government in an officiating or temporary or substantive capacity shall qualify:

Provided that the continuous service rendered under that Government in an officiating or temporary capacity shall qualify if that service is followed without interruption by substantive appointment in the State Government or the Central Government.

(2) Where a Government servant belonging to a State Government (with similar gratuity provisions) is appointed with proper permission to a service or post to which these rules apply after acceptance of his resignation from the service of the

State Government, the continuous service rendered under the State Government in an officiating or temporary or substantive capacity shall qualify, subject to the condition that the service rendered under that Government in an officiating or temporary capacity is followed without interruption by substantive appointment.

***Explanation.** A Government servant shall be deemed to have been appointed in the Government with proper permission if he had applied for the service or post in the Government with previous permission of the State Government and the order of the State Government clearly indicates that the employee is resigning to join the post in the Government with proper permission of the State Government.*

(3) The liability for gratuity in cases covered under sub-rule (1) and sub-rule (2) shall be borne by the Central Government and no recovery of proportionate gratuity shall be made from the State Government.

Rule 9B — Service in autonomous bodies (New, inserted 24.04.2025)

(1) Where a person who was initially appointed in an autonomous body under the Central Government or a State Government (having provision for retirement gratuity and death gratuity similar to these rules) is subsequently appointed with proper permission to a service or post in the Central Government to which these rules apply, after acceptance of his resignation from the said autonomous body, the service rendered under the said autonomous body in an officiating or temporary or substantive capacity shall qualify, subject to the following conditions —

- (a) the appointment of that Government servant in an officiating or temporary capacity in the Central Government is followed without interruption by substantive appointment;
- (b) the Government servant has not availed a separate retirement gratuity from the said autonomous body for the service rendered in that body before acceptance of resignation; and
- (c) the gratuity liability is discharged by the said autonomous body by paying in lump sum the amount of retirement gratuity for the service rendered in the autonomous body.

***Explanation.** A Government servant shall be deemed to have been appointed in the Government with proper permission if he had applied for the service or post in the Government*

with previous permission of the autonomous body and the order of the autonomous body clearly indicates that the employee is resigning to join the post in the Government with proper permission of the autonomous body.

(2) Service rendered in a public sector undertaking, including a nationalised bank and financial institution, before appointment in the Central Government shall not count as qualifying service for the purpose of these rules.

Rule 10 — Counting of service on probation

Service on probation against a post, if followed by confirmation in the same or another post, shall qualify.

Rule 11 — Counting of service as apprentice

Service as an apprentice shall not qualify, except in the case of a Subordinate Audit or Accounts Services (S.A.S.) apprentice in the Indian Audit and Accounts Department or the Defence Accounts Department.

Rule 12 — Counting of periods spent on leave

All leave during service for which leave salary is payable, and all extraordinary leave granted on medical certificate, shall count as qualifying service:

Provided that in the case of extraordinary leave other than extraordinary leave granted on medical certificate, the appointing authority may, at the time of granting such leave, allow the period of that leave to count as qualifying service if such leave is granted to a Government servant —

- (i) due to his inability to join or rejoin duty on account of civil commotion; or
- **(ii) for pursuing higher scientific and technical studies.**

Explanation (inserted by 2025 Amendment)

In the case of extraordinary leave other than extraordinary leave granted on medical certificate and extraordinary leave allowed to be counted as qualifying service under the proviso above, at the time of grant of such leave, a definite entry shall be made in the service book of the Government servant to the effect that the period of extraordinary leave shall not be treated as qualifying service. Such an entry, if not made at the time of grant, can be made subsequently but not later than six months

before the date of retirement on superannuation. If no such entry is made in the service book, the period of extraordinary leave shall be treated as qualifying service.

Amendment Note — Rule 12 (G.S.R. 258(E) dated 24.04.2025)

Clause (ii) of the proviso — earlier worded as “for pursuing higher studies considered useful in discharge of the official duty” — has been replaced by the more specific “for pursuing higher scientific and technical studies.”

A fresh Explanation has been added prescribing a mandatory service-book entry where EOL is not to be counted as qualifying service. Critically, in the absence of such entry, EOL defaults to counting as qualifying service.

Rule 13 — Counting of periods spent on training (Substituted, 24.04.2025)

(1) In the case of a Government servant who was required to undergo a departmental training before regular appointment to a Group C post and was in receipt of pay in a scale of pay or a stipend or a nominal allowance during such training, the period of such training shall count as qualifying service.

(2) In cases not covered under sub-rule (1), the Government may, by order, decide whether the time spent by a Government servant under training immediately before appointment to service under that Government shall be counted as qualifying service.

(3) Where time spent under training immediately before appointment is counted as qualifying service, interruption due to the training and regular appointment being at different stations, not exceeding the joining time permissible under the rules of transfer, shall be counted as qualifying service.

(4) Where the period of interruption is in excess of joining time due to administrative reasons, such period in excess shall be regularised by grant of leave of the kind due or, if no such leave is due, by grant of extraordinary leave by the Head of Department; the period regularised by EOL shall be counted as qualifying service.

Amendment Note — Rule 13 (G.S.R. 258(E) dated 24.04.2025)

The earlier Rule 13 has been substituted in full. The Group C training provision is now placed at sub-rule (1) (qualifying as a matter of right with stipend/nominal allowance);

Group A/B training continues to be a matter of executive order. Sub-rules (3) and (4) are entirely new and deal with the interface between training stations and the regular post, including regularisation by leave grant.

Rule 14 – Counting of periods of suspension

(1) Time passed by a Government servant under suspension pending inquiry into conduct shall count as qualifying service where, on conclusion of such inquiry, he has been fully exonerated or a minor penalty is imposed on him or the suspension is held to be wholly unjustified; in other cases, the period of suspension shall not count unless the authority competent to pass orders under the rule governing such cases expressly declares that it shall count, to such extent as the competent authority may declare.

(2) In all cases of suspension, the competent authority shall pass an order specifying the extent to which, if any, the period of suspension shall count as qualifying service, and a definite entry shall be made in the service book of the Government servant in this regard.

Amendment Note – Rule 14 (G.S.R. 258(E) dated 24.04.2025)

The single-paragraph rule was renumbered as sub-rule (1) and a new sub-rule (2) was inserted mandating a written order and corresponding service-book entry in every suspension case.

Rule 15 – Forfeiture of service on dismissal or removal

Dismissal or removal of a Government servant from a service or post entails forfeiture of his past service.

Rule 16 – Counting of past service on reinstatement

(1) A Government servant who is dismissed, removed or compulsorily retired from service, but is reinstated on appeal or review, is entitled to count his past service as qualifying service.

(2) The period of interruption in service between the date of dismissal, removal or compulsory retirement and the date of reinstatement, and the period of suspension, if any, shall not count as qualifying service unless regularised as duty

or leave by a specific order of the authority which passed the order of reinstatement.

Rule 17 — Forfeiture of service on resignation

(1) Resignation from a service or a post, unless it is allowed to be withdrawn in the public interest by the appointing authority, entails forfeiture of past service.

(2) A resignation shall not entail forfeiture of past service if it has been submitted to take up, with proper permission, another appointment, whether temporary or permanent, under the Government where service qualifies.

(2A) The order accepting the resignation should clearly indicate that the Government servant has resigned to join another appointment with proper permission, and a specific entry to this effect shall also be made by the Head of Office in the service book of the Government servant.

DoPPW Clarification on Resignation (OM dated 24.10.2025)

DoPPW vide OM No. 2/8/2025-P&PW(F)/11164 dated 24.10.2025 has clarified that retirement gratuity after completion of 5 years of qualifying service is applicable only on retirement as detailed in Rule 22. Resignation — except technical resignation under Rule 17(2), deemed retirement under Rule 17(5), and absorption under Rule 32 — forfeits past service and no gratuity is payable. This applies regardless of the length of qualifying service rendered.

Death gratuity: Death gratuity remains payable to the family irrespective of the length of qualifying service (see Rule 22(2) table).

Rule 18 — Effect of interruption in service

An interruption in the service of a Government servant entails forfeiture of his past service, except in the following cases —

- (a) authorised leave of absence;
- (b) unauthorised absence in continuation of authorised leave of absence so long as the post of absentee is not filled substantively;
- (c) suspension, where it is immediately followed by reinstatement, whether in the same or a different post, or where the Government servant dies or is

permitted to retire or is retired on attaining the age of **superannuation** while under suspension;

- **(d)** transfer to non-qualifying service in an establishment under the control of the Government if such transfer has been ordered by a competent authority in the public interest;
- **(e)** joining time while on transfer from one post to another.

The appointing authority may, by order, commute retrospectively the periods of absence without leave as extraordinary leave.

Amendment Note — Rule 18(1)(c) (G.S.R. 258(E) dated 24.04.2025)

In clause (c), the words “compulsory retirement” have been substituted by the word “superannuation” to align terminology with the substantive scheme of these rules.

Rule 19 — Condonation of interruption in service

(1) In the absence of a specific indication to the contrary in the service book, an interruption between two spells of civil service rendered by a Government servant under Government — including civil service rendered and paid out of Defence Services Estimates or Railway Estimates — shall be treated as automatically condoned and the pre-interruption service treated as qualifying service.

(4) The appointing authority may consider condonation of interruption in service and to treat the pre-interruption service as qualifying service.

(5) The appointing authority may take a decision not to condone interruption in service only in exceptional and grave circumstances.

(6) No such order against condonation of interruption in service shall be passed by the appointing authority without extending to the Government servant a reasonable opportunity of representation and being heard in person.

Amendment Note — Rule 19 (G.S.R. 258(E) dated 24.04.2025)

Three new sub-rules (4), (5) and (6) have been inserted to formalise the condonation procedure and to require an opportunity of hearing before a decision adverse to the Government servant.

Rule 20 — Period of deputation

Service rendered by a Government servant on foreign service in India or abroad, or on deputation to the United Nations or other international organisations, shall count as qualifying service for gratuity, provided contributions in respect of gratuity have been deposited for the said period either by the Government servant himself or by the foreign employer.

Rule 21 — Verification of qualifying service

On each occasion after a Government servant has completed eighteen years of service, and on his being left with five years of service before the date of superannuation, the Head of Office in consultation with the Accounts Officer shall, in accordance with the rules for the time being in force, verify the service rendered, determine the qualifying service, and communicate to him, in Form 1, the period of qualifying service so determined.

(4) By the 31st January of each year, a report shall be submitted to the Secretary of the Administrative Ministry or Department giving details of the Government servants required to be issued a certificate of qualifying service during the previous calendar year under sub-rule (1), the details of those actually issued the certificate during the said period, and the reasons for not issuing the certificate in the remaining cases.

Amendment Note — Rule 21(4) (G.S.R. 258(E) dated 24.04.2025)

A new sub-rule (4) introduces annual reporting (by 31st January) to the Secretary of the Administrative Ministry/Department on the issue of qualifying-service certificates, ensuring accountability for the verification exercise.

Chapter V – Regulation of Retirement Gratuity and Death Gratuity

Rule 22 – Retirement gratuity or death gratuity

(1) A Government servant who has completed five years' qualifying service and who —

- (i) retires on attaining the age of superannuation, or on invalidation; or
- (ii) retires or is retired, in advance of the age of superannuation, in accordance with rule 56 of the Fundamental Rules, 1922 or rule 12 of the CCS (Implementation of NPS) Rules, 2021; or
- (iii) on being declared surplus to the establishment in which he was serving, opts for the Special Voluntary Retirement Scheme relating to voluntary retirement of surplus employees; or
- (iv) has been permitted to be absorbed in a service or post in or under a corporation or company wholly or substantially owned or controlled by the Central Government or a State Government, or in or under a body controlled or financed by the Central Government or a State Government,

shall, on his retirement, be granted retirement gratuity equal to **one-fourth of his emoluments for each completed six-monthly period of qualifying service, subject to a maximum of 16½ times the emoluments.**

(2) Death gratuity – Rates

Where a Government servant dies while in service, the death gratuity shall be payable to his family in the manner indicated in sub-rule (1) of rule 24 at the following rates —

Sl. No.	Length of qualifying service	Rate of death gratuity
1	Less than one year	Two times of emoluments
2	One year or more but less than five years	Six times of emoluments
3	Five years or more but less than eleven years	Twelve times of emoluments

Sl. No.	Length of qualifying service	Rate of death gratuity
4	Eleven years or more but less than twenty years	Twenty times of emoluments
5	Twenty years or more	Half of emoluments for every completed six-monthly period of qualifying service, subject to a maximum of thirty-three times of emoluments

Provided that the amount of retirement gratuity or death gratuity payable under this rule shall in no case exceed **twenty-five lakh rupees** w.e.f. 01.01.2024.

Enhancement of Gratuity Ceiling — ₹20 Lakh → ₹25 Lakh

DoPPW OM No. 28/03/2024-P&PW(B)/Gratuity/9559 dated 30.05.2024 enhanced the maximum gratuity ceiling from ₹20 lakh to ₹25 lakh, effective 01.01.2024. The trigger was Dearness Allowance reaching 50%. This enhancement applies to both the CCS (Pension) Rules, 2021 and the CCS (Payment of Gratuity under NPS) Rules, 2021. The figure “twenty” was substituted by “twenty five” in the first proviso to Rule 22(2) by G.S.R. 258(E) dated 24.04.2025.

The emoluments for the purpose of gratuity admissible under this rule shall be reckoned in accordance with rule 6:

Provided further that the dearness allowance admissible on the date of retirement or death, as the case may be, shall also be treated as emoluments for the purpose of this rule.

(3) Residuary gratuity

Where a Government servant, who has become eligible for retirement gratuity, dies within five years from the date of his retirement from service (*including compulsory retirement as a penalty — omitted by 24.04.2025 amendment*), and the sums actually received by him at the time of death on account of such annuity under the National Pension System, if any, together with the retirement gratuity admissible, are less than the amount equal to twelve times his emoluments, a **residuary gratuity** equal to the deficiency may be granted to his family.

(5) Definition of “family”

“Family”, in relation to a Government servant, means —

- (i) wife or wives, including judicially separated wife or wives, in the case of a male Government servant;
- (ii) husband, including judicially separated husband, in the case of a female Government servant;
- (iii) sons including stepsons and adopted sons;
- (iv) unmarried daughters including stepdaughters and adopted daughters;
- (v) widowed or divorced daughters including stepdaughters and adopted daughters;
- (vi) father, including adoptive parents in the case of individuals whose personal law permits adoption;
- (vii) mother, including adoptive parents in the case of individuals whose personal law permits adoption;
- (viii) brothers including stepbrothers who are suffering from any disorder or disability of mind including the mentally retarded or physically crippled or disabled **without any limit of age**, and brothers including stepbrothers **below the age of eighteen years** in other cases;
- (ix) unmarried sisters, widowed sisters and **divorced sisters** including stepsisters;
- (x) married daughters; and
- (xi) children of a pre-deceased son.

Explanation (1) — Fraction of qualifying service

In calculating the length of qualifying service under this rule, fraction of a year equal to **three months and above** shall be treated as a completed **six-monthly period** and reckoned as qualifying service.

Explanation (1A) — Rounding-off of qualifying service near five years (New)

In the case of a Government servant who has rendered a qualifying service of **four years and nine months or more but less than five years**, his qualifying service for the purpose of this rule shall be five years and he shall be eligible for retirement gratuity in accordance with sub-rule (1).

(6) Death gratuity shall also be admissible in the case of a Government servant who commits suicide.

Amendment Note — Rule 22 (G.S.R. 258(E) dated 24.04.2025)

Sub-rule (2), first proviso — “twenty” lakh substituted by “twenty five” lakh.

Sub-rule (3), first proviso — the words “otherwise than as a penalty” omitted (so residuary gratuity is now available even where the retirement was a compulsory retirement as a penalty, subject to other conditions).

Sub-rule (5) — clauses (viii) and (ix) substituted. Brothers with disorder/disability of mind or physical disability are now covered without any age limit; divorced sisters are now expressly included.

Explanation (1) was substituted, and a new Explanation (1A) was inserted to provide that 4 years 9 months or more (but less than 5 years) of qualifying service shall be deemed to be 5 years for entitlement to retirement gratuity.

Caution — On the Statutory Multiplier

The statutory maximum retirement gratuity is sixteen and one-half (16½) times the emoluments. This figure has stood unchanged in the gazette text from 23.09.2021 onwards. There has been no “typographical error” substitution from “162 times” to “16½ times” at any point. Aspirants are cautioned against any study material making such a claim.

Applicability to Unified Pension Scheme (UPS) Subscribers

The Unified Pension Scheme (UPS) was notified by the Department of Financial Services vide Notification No. FS-1/3/2023-PR dated 24.01.2025 as an option under the NPS for recruits to the Central Government civil service with effect from 01.04.2025, with a one-time option for existing NPS subscribers to opt in.

By DoPPW OM No. 57/01/2025-P&PW(B)/UPS/10498 dated 18.06.2025 (issued in consultation with the Ministry of Finance, Department of Expenditure vide ID Note No. 1(18)/E.V/2024 dated 03.06.2025), it has been clarified that Central Government employees covered by the Unified Pension Scheme shall be eligible for the benefit of Retirement Gratuity and Death Gratuity under the provisions of these rules.

Consequently, UPS subscribers are within the application of these rules in the same manner as other NPS subscribers, and every reference in these rules to “National Pension System” must, in their case, be read together with the UPS framework.

Coverage of Offices — DoPPW OM dated 24.10.2025

By DoPPW OM No. 2/9/2025-P&PW(F)/11185 dated 24.10.2025, it has been clarified that the enhanced ceiling of ₹25 lakh under the OM dated 30.05.2024 — and the CCS (Pension) Rules, 2021 / CCS (Payment of Gratuity under NPS) Rules, 2021 themselves — apply only to Central Government civilian employees governed by these rules.

They are not applicable to societies, banks, port trusts, Reserve Bank of India, public sector undertakings, autonomous bodies, universities, and similar organisations, which are governed by their own respective regulations. Queries regarding gratuity in such organisations are to be directed to the concerned organisation or its administrative Ministry / Department, not to DoPPW.

Rule 23 — Nominations

(1) A Government servant shall, on his initial confirmation in a service or post, make a nomination in Form 2, conferring on one or more persons the right to receive the retirement gratuity or death gratuity payable under rule 22.

Provided that if at the time of making the nomination —

- (i) the Government servant has a family, the nomination shall not be made in favour of any person or persons other than the members of his family; or
- (ii) the Government servant has no family, the nomination may be made in favour of a person or persons, or a body of individuals, whether incorporated or not.

(4) *Invalidation of nominations on family changes (Substituted, 24.04.2025)*

- **(a)** Where a Government servant has no family at the time of making a nomination, the nomination made by him in favour of a person or a body of individuals under clause (ii) of the proviso to sub-rule (1) shall become invalid in the event of the Government servant subsequently acquiring a family;
- **(b)** Where a Government servant has only one member in his family at the time of making a nomination and a nomination has been made in his favour, in the event of the Government servant subsequently acquiring an additional member in the family, the alternate nomination made by the Government servant in favour of a person or a body of individuals under the second proviso

to clause (i) of sub-rule (3), if any, shall become invalid, but the nomination made in favour of the family member shall not be affected;

- (c) Nomination made by an unmarried Government servant under clause (i) of the proviso to sub-rule (1) in favour of any member of his family specified in sub-rule (5) of rule 22 shall not become invalid on his or her marriage unless the Government servant cancels the earlier nomination and files a fresh nomination in accordance with sub-rule (5).

(7)(d) A duly signed copy of the nomination form shall be returned to the Government servant for keeping it in his safe custody.

Amendment Note – Rule 23 (G.S.R. 258(E) dated 24.04.2025)

Sub-rule (4) was substituted in full to refine when nominations cease to subsist on changes in the family.

A new clause (d) to sub-rule (7) requires the Head of Office to return a signed copy of the nomination form to the Government servant for safe custody.

Rule 24 – Persons eligible to receive death gratuity

(1) Where a Government servant dies while in service, the amount of death gratuity shall be paid in accordance with the nomination made by him, and where no nomination subsists, to the persons eligible to receive it in the order specified in this rule.

(2) Where there is no nomination, or the nomination does not subsist, the gratuity shall be distributed in equal shares among the members of the family specified in sub-rule (5) of Rule 22 (excluding the dependants in categories (viii) to (xi), unless none in categories (i) to (vii) is available).

(5) In case a nominee pre-deceases the Government servant and the right conferred on that nominee has not passed on to any other person under sub-rule (3) of rule 23, or the nomination made in respect of such person does not subsist, or the nomination has become invalid on account of happening of any contingency mentioned therein, the share of gratuity in respect of such nominee shall be disbursed equally to all other members of the family who were eligible and alive on the date of death of the Government servant, including the members of the

family in whose favour nomination has been made for payment of the remaining amount of gratuity.

(6) If there is more than one member of the family eligible to receive gratuity under this rule and one of them has not submitted his claim for gratuity, the case for sanction of gratuity to him may be processed after his claim has been received, and the case of other eligible members of the family for sanction of gratuity may be processed without linking it with the case of the family member who has not submitted the claim.

Amendment Note – Rule 24 (G.S.R. 258(E) dated 24.04.2025)

Two new sub-rules (5) and (6) have been inserted: sub-rule (5) deals with the disposal of the share of a pre-deceasing nominee, and sub-rule (6) permits the de-linking of claims so that the pendency of one claim does not hold up payment to other eligible family members.

Rule 25 – Debarring a person from receiving gratuity

Where a person who, in the event of death of a Government servant while in service, is eligible to receive gratuity in terms of Rule 24 is charged with the offence of murdering the Government servant or for abetting in the commission of such an offence, his claim to receive his share of gratuity shall remain suspended till the conclusion of the criminal proceedings instituted against him.

Explanation (inserted by 2025 Amendment)

For the purposes of this rule, the charge of murder or abetting in the murder of a Government servant shall include the **charge of abetting death by suicide**.

Amendment Note – Rule 25 (G.S.R. 258(E) dated 24.04.2025)

An Explanation has been added to clarify that abetment of death by suicide is included within the scope of murder/abetment for the purpose of suspending the gratuity claim of a charged family member.

Rule 26 – Lapse of retirement gratuity or death gratuity

Where a Government servant dies while in service or after retirement without receiving the amount of gratuity and leaves behind no family, and –

- (a) has made no nomination; or
- (b) the nomination made by him does not subsist,

the amount of retirement gratuity or death gratuity payable in respect of such Government servant shall lapse to the Government:

Provided that the amount of death gratuity or retirement gratuity shall be payable to the person in whose favour a Succession Certificate in respect of the gratuity in question has been granted by a Court of Law.

Rule 27 — Superannuation gratuity

A superannuation gratuity shall be granted to a Government servant who is retired on his attaining the age of superannuation or, if the service of the Government servant has been extended beyond superannuation, on expiry of such period of extension of service beyond the age of superannuation.

Rule 28 — Invalid gratuity

An invalid gratuity shall be granted to a Government servant who retires from service on account of any bodily or mental infirmity which permanently incapacitates him for the service, in accordance with rule 16 of the CCS (Implementation of NPS) Rules, 2021, and who had exercised option, or in whose case the default option under rule 10 of those rules is for availing benefits under the National Pension System:

*Provided that where a Government servant who had exercised option, or in whose case the default option under rule 10 of the CCS (Implementation of NPS) Rules, 2021 is for availing benefits under the **Central Civil Services (Pension) Rules, 2021** or the **Central Civil Services (Extraordinary Pension) Rules, 2023**, and in whose case the provisions of section 20 of the Rights of Persons with Disabilities Act, 2016 (49 of 2016) are not applicable, retires on account of any bodily or mental infirmity which permanently incapacitates him for the service, further action will be taken by the Head of Office for disbursement of benefits in accordance with the said rules.*

Amendment Note — Rule 28 (G.S.R. 258(E) dated 24.04.2025)

All references in Rule 28's proviso to the "CCS (Pension) Rules, 1972" and the "CCS (Extraordinary Pension) Rules, 1939" have been updated to the "CCS (Pension) Rules,

2021” and the “CCS (Extraordinary Pension) Rules, 2023” respectively, to reflect the current statutory framework.

Rule 29 – Retiring gratuity

A Government servant who retires or is retired, in advance of the age of superannuation, in accordance with rule 56 of the Fundamental Rules, 1922 or rule 12 of the CCS (Implementation of NPS) Rules, 2021, or on being declared surplus to the establishment in which he was serving and opts for the Special Voluntary Retirement Scheme for surplus employees notified by the Department of Personnel and Training vide Office Memorandum No. 25013/6/2001-Estt.(A) dated 28th February 2002 as amended from time to time, shall be entitled to gratuity admissible.

Rule 30 – Gratuity on compulsory retirement

- (1) A Government servant compulsorily retired from service as a penalty may be granted, by the authority competent to impose such penalty, gratuity at a rate not less than two-thirds of gratuity admissible to him on the date of his compulsory retirement.
- (2) Whenever, in the case of a Government servant, the President passes an order (whether original, appellate or in exercise of power of review) awarding a gratuity less than the full gratuity admissible under these rules, the Union Public Service Commission shall be consulted before such order is passed.
- (3) The order regarding the quantum of gratuity to be granted under sub-rule (1) may be issued simultaneously with the order of imposition of penalty of compulsory retirement, and where such an order is not issued simultaneously, a **provisional gratuity at a rate of two-thirds of full superannuation gratuity** shall be sanctioned to the Government servant immediately.
- (4) Where a provisional gratuity is sanctioned under sub-rule (3), the order for grant of final gratuity under sub-rule (1) shall be issued in consultation with the Union Public Service Commission, where necessary, **not later than three months after the date of issue of the order imposing the penalty of compulsory retirement.**

Amendment Note — Rule 30 (G.S.R. 258(E) dated 24.04.2025)

New sub-rules (3) and (4) introduce a provisional gratuity mechanism at two-thirds rate where the final quantum is not fixed simultaneously with the order of compulsory retirement, with a three-month deadline (subject to UPSC consultation where necessary) for issuing the final order.

Rule 31 — Effect of dismissal or removal

(1) A Government servant who is dismissed or removed from service shall forfeit his gratuity:

Provided that the authority competent to dismiss or remove him from service may, if the case is deserving of special consideration, sanction a compassionate gratuity not exceeding two-thirds of retirement gratuity.

(2) The competent authority shall, either on its own or after taking into consideration the representation of the Government servant, if any, examine whether any compassionate gratuity is to be granted and take a decision in accordance with the proviso to sub-rule (1) **not later than three months after the date of issue of the order imposing the penalty of dismissal or removal.**

(3) The competent authority shall consider —

- (a) each case of dismissal and removal on its merit to decide whether the case deserves of special consideration for sanction of compassionate gratuity and, if so, the quantum thereof;
- (b) the actual misconduct which occasioned the penalty and the kind of service rendered by the Government servant;
- (c) in exceptional circumstances, factors like family members dependent on the Government servant along with other relevant factors.

Amendment Note — Rule 31 (G.S.R. 258(E) dated 24.04.2025)

Single paragraph of the principal rule was renumbered as sub-rule (1) and new sub-rules (2) and (3) were inserted prescribing a three-month outer limit for deciding on compassionate gratuity and laying down the considerations to be weighed.

Rule 32 — Benefit on absorption in or under a corporation, company or body

(1) A Government servant who has been permitted to be absorbed in a service or post in or under a corporation or company wholly or substantially owned or controlled by the Central Government or a State Government, or in or under a body controlled or financed by the Central Government or a State Government, shall be deemed to have retired from service from the date of such absorption and he shall be eligible, on such absorption, to receive retirement gratuity on the basis of the qualifying service and emoluments on the date of absorption.

(2) Where a gratuity scheme similar to the gratuity scheme under these rules exists in a body controlled or financed by the Central Government or a State Government in which a Government servant is absorbed, he shall be entitled to exercise option either —

- (a) to receive retirement benefits for the service rendered under the Central Government; or
- (b) to count the service rendered under the Central Government in that body for **gratuity** (substituted for “pension” by 2025 amendment).

(7) The provisions of sub-rules (4) and (5) shall also be applicable in the cases of absorption of Government servant consequent upon conversion of a Government Department into a public sector undertaking or autonomous body.

Amendment Note — Rule 32 (G.S.R. 258(E) dated 24.04.2025)

In sub-rule (4)(b), the word “pension” has been substituted by “gratuity” (a clarifying correction).

A new sub-rule (7) has been added to extend the absorption provisions to cases of conversion of a Government Department into a PSU or autonomous body.

Rule 32A — Gratuity on absorption in or under a State Government (New, inserted 24.04.2025)

(1) A Government servant who has been permitted to be absorbed in a service or post in or under a State Government shall be deemed to have retired from service under the Central Government from the date of such absorption and, subject to sub-rule (6), he shall be eligible, on such absorption, to receive retirement gratuity

on the basis of the qualifying service and emoluments on the date of absorption in accordance with Rule 22:

Provided that on retirement from the State Government, the total amount of gratuity in respect of the service rendered under the Government and the service rendered in the State Government shall not exceed the amount that would have been admissible had the Government servant continued in the Central Government service and retired on the same pay which he drew on retirement from the State Government.

(2) Date of absorption —

- (i) where a Government employee joins a State Government on immediate absorption basis, the date on which he actually joins that Government (and for this purpose, immediate absorption means acceptance of a technical resignation of the Government servant from Central Government service to enable him to take up an appointment in the State Government for which he had applied with proper permission);
- (ii) where a Government employee initially joins a State Government on deputation, the date from which his unqualified resignation is accepted by the Central Government.

(3) Where a Government employee joins a State Government on immediate absorption basis, the relieving order shall be issued in Form 3, which shall indicate the period within which the Government servant shall join the State Government (this period may be extended by the relieving authority for reasons beyond the control of the Government servant, which shall be recorded in writing).

(4) The period between the date of relief and the date of joining in the State Government may be regularised by grant of leave due, and if no such leave is due, by grant of extraordinary leave.

(5) The relieving authority, before processing the case for sanction of retirement benefits, shall ascertain the date of joining by the Government servant in the State Government and accept the resignation from the date preceding the date of joining.

(6) Where a provision of the National Pension System and retirement gratuity and death gratuity similar to these rules exists in the State Government in which a Government servant is absorbed, he shall be entitled to exercise option either —

- **(a)** to receive retirement gratuity for the service rendered under the Central Government in accordance with sub-rule (1); or
- **(b)** to count the service rendered under the Central Government in that State Government for grant of gratuity.

(7) Where a Government servant is absorbed in a State Government and exercises an option under clause (b) of sub-rule (6), on retirement from the State Government, the payment of gratuity for the entire service, including the service rendered in the Central Government, shall be made by that Government, and no liability of proportionate gratuity shall be borne by the Central Government.

Rule 33 — Payment of gratuity in the case of missing Government servant (Substituted, 24.04.2025)

(1) In the case of a Government servant who goes missing, or a retired Government servant who goes missing without receiving the retirement gratuity admissible under sub-rule (1) of Rule 22, the amount of retirement gratuity shall be payable to a member or members of the family in the manner and subject to the conditions applicable in the case of a Government servant who dies after retirement without receiving the retirement gratuity.

(2) Claims for payment of retirement gratuity shall be —

- **(a)** submitted in Form 4 to the Head of Office by the nominee(s) or members of family eligible to receive the amount of gratuity, after a report has been lodged with the concerned Police Station in the form of a First Information Report or a Daily Diary Entry or a General Diary Entry;
- **(b)** accompanied by an Indemnity Bond in Proforma B along with a copy of the report lodged with the police and the report obtained from the police that the Government servant could not be traced despite all efforts.

(3) In the case of a Government servant who goes missing, the emoluments for retirement gratuity shall be determined in accordance with Rule 22, based on the pay and emoluments on the last date on which he was on duty before he went missing or, if he was on leave, the date on which leave sanctioned to him expired.

(4)(a) The payment of the amount of retirement gratuity shall not be made before the expiry of a period of six months from the date of lodging of the report with the concerned Police Station:

Provided further that if the payment of gratuity is delayed and the delay is attributable to administrative lapses or reasons, interest shall be payable for the period of delay beyond six months from the date of submission of claim, and responsibility shall be fixed for such delayed payment in accordance with Rule 44.

- **(b)** In the case of a Government servant who goes missing, **death gratuity shall become payable after the death of the Government servant is conclusively established or on expiry of a period of seven years from the date of lodging of the report with the police, whichever is earlier.**
- **(c)** The difference between the amount of death gratuity and retirement gratuity shall be paid to the person(s) eligible for payment of death gratuity not later than three months from the date of submission of the claim for the difference.
- **(d)** If the payment of the difference is delayed and the delay is attributable to administrative lapses or reasons, interest shall be payable for the period of delay beyond six months from the date of submission of the claim.
- **(e)** The Head of Office shall process the case in Form 5 for grant of retirement gratuity.

(5) The Head of Office shall assess all the Government dues outstanding against the Government servant and effect their recovery in accordance with Rule 45 before sanctioning the payment of gratuity.

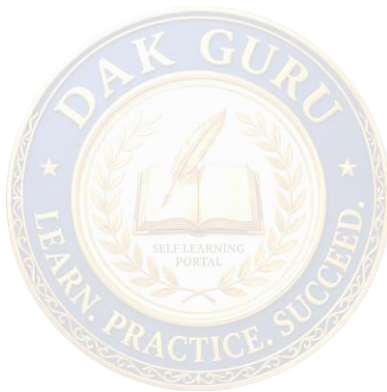
(6) Nothing in this rule shall apply in the case of a Government servant who disappears and against whom allegation of fraud or embezzlement or any other crime is under investigation, or who has been charged or convicted for such crimes.

(7) No payment under this rule shall be authorised to be paid to a person or persons other than a member or members of the family eligible to receive that payment.

Amendment Note — Rule 33 (G.S.R. 258(E) dated 24.04.2025)

Rule 33 has been substituted in full. The most important substantive change is in sub-rule (4)(b): death gratuity is now payable after death is conclusively established OR on expiry of seven years from the date of police report, whichever is earlier — making death gratuity (not merely the differential) admissible at the seven-year mark. New procedural safeguards have been added: Indemnity Bond in Proforma B, processing

in Form 5, six-month embargo on payment, and interest plus accountability for delays beyond six months.



Chapter VI — Determination and Authorisation of the Amount of Gratuity

This chapter contains the procedural framework for processing gratuity claims. The detailed rules (Rules 34 to 48) cover preparatory action by the Head of Office, intimation to the Directorate of Estates, stages of completion of Form 6, applicability of average emoluments, provisional gratuity, action by the Accounts Officer, payment, interest on delayed payment, recovery of Government dues, and adjustment of dues pertaining to Government accommodation. The 2025 amendment has tightened timelines and accountability throughout.

Rule 34 — Preparation of list of Government servants due for retirement

Every Head of Department shall have a list prepared every six months — on 1st January and 1st July of each year — of all Government servants due to retire within the next 24 to 30 months. A copy of every such list shall be supplied to the Accounts Officer concerned not later than 31st January or 31st July, as the case may be, of that year.

Rule 35 — Intimation to the Directorate of Estates regarding 'No Demand Certificate'

(1) The Head of Office shall write to the Directorate of Estates at least one year before the anticipated date of retirement of the Government servant who was or is in occupation of a Government accommodation, for issuing a 'No Demand Certificate' in respect of the period preceding eight months of the retirement of the allottee.

(2) In the case of retirement of a Government servant for reasons other than by way of superannuation, the Head of Office shall write to the Directorate of Estates immediately after the orders were issued for retirement of the Government servant who was or is in occupation of a Government accommodation, for issuing a 'No Demand Certificate'.

Amendment Note — Rule 35 (G.S.R. 258(E) dated 24.04.2025)

A new sub-rule (2) has been inserted to cover non-superannuation retirements (premature retirement under FR 56, voluntary retirement under Rule 12 of NPS

Implementation Rules, etc.) and to mandate immediate communication with the Directorate of Estates in such cases.

Rule 36 — Stages for completion of papers for payment of gratuity on superannuation

The Head of Office shall divide the period of preparatory work of one year referred to in Rule 34 into three stages —

- **First Stage:** Verification of service. Eight months prior to retirement, the Head of Office shall — in consultation with the Accounts Officer — furnish to the retiring Government servant a certificate regarding the length of qualifying service proposed to be admitted and also the emoluments and average emoluments proposed to be reckoned for retirement gratuity. The retiree may furnish reasons for non-acceptance, with supporting documents, within two months.
- **Second Stage:** Making good omissions in service book; assessment of Government dues; and obtaining of claims for gratuity in Form 6.
- **Third Stage:** Forwarding of Form 6 with all relevant documents to the Accounts Officer not later than four months before the date of retirement.

Rule 41 — Provisional gratuity

(1) Where the Head of Office is unable to forward the gratuity papers to the Accounts Officer within the period prescribed in Rule 36 owing to any delay in the verification of service or in the assessment of Government dues, he shall furnish full reasons for the delay to the Accounts Officer.

(2) The Accounts Officer shall, on receipt of the report under sub-rule (1), take steps to ensure that **provisional gratuity is sanctioned within one month from the date of submission of forms** so that, on retirement, the Government servant gets a major portion of the gratuity.

(9) In cases where there is a delay in issue of sanction for payment of retirement gratuity, it shall be the responsibility of the Head of Office to ensure that a provisional gratuity is sanctioned in accordance with this rule.

Amendment Note — Rule 41 (G.S.R. 258(E) dated 24.04.2025)

In sub-rule (2), the words “two months” were substituted by “one month from the date of submission of forms,” halving the outer time-limit for sanction of provisional gratuity.

A new sub-rule (9) places responsibility on the Head of Office to ensure provisional gratuity is sanctioned whenever final sanction is delayed.

Rule 42 — Authorisation of gratuity by the Accounts Officer

(1)(a) On receipt of Form 6, the Accounts Officer shall apply the requisite checks and record the account encasement in Part II of Form 6.

(b) The Accounts Officer shall complete the said work and dispatch the Payment Authorisation to the Head of Office **within forty-five days** (earlier three months) of the receipt of Form 6.

(c) While applying the requisite checks, the Accounts Officer shall verify the correctness of emoluments only for the period of twenty-four months preceding the date of retirement, and not for any period prior to that date.

(4)(a) In case of pendency of departmental or judicial proceedings against a Government servant, the Head of Office shall forward the copy of the final order passed by the competent authority along with all relevant details to the Accounts Officer, not later than thirty days from the date of passing of the said order.

(b) On receipt of the copy of final order, the Accounts Officer shall take further action to authorise the payment of gratuity within thirty days of the date of receipt of the said order.

Amendment Note — Rule 42 (G.S.R. 258(E) dated 24.04.2025)

Sub-rule (1)(b) timeline tightened from three months to forty-five days.

A new clause (c) limits emoluments verification to a twenty-four-month look-back period.

A new sub-rule (4) prescribes a 30+30-day track to authorise payment after final orders are issued in pending proceedings.

Rule 44 — Interest on delayed payment of gratuity

(1) If the payment of gratuity has been authorised after three months from the date when its payment became due, an interest at the rate applicable to Government Provident Fund (GPF) deposits shall be paid for the period of delay.

(2) Every case of delayed payment of gratuity (including provisional gratuity) shall be considered by the Secretary of the Ministry or Department, or any other officer not below the level of Joint Secretary authorised by him. Where the Secretary or the officer authorised is satisfied that the delay was caused on account of administrative reasons or lapse, payment of interest shall be sanctioned.

(3) (a) The administrative Ministry or Department or office shall issue sanction for payment of interest after the Secretary or the officer authorised by him has sanctioned it under sub-rule (2). (b) Payment of interest on delayed payment of gratuity shall be paid within a period of two months from the date on which payment of interest has been sanctioned.

(4) In all cases where the payment of interest has been sanctioned, the administrative Ministry/Department/Office shall fix responsibility and take disciplinary action against the Government servant(s) found responsible for the delay on account of administrative lapses. Payment of interest shall not wait for the outcome of the disciplinary proceedings.

(5) Computation of period for which interest is payable

- (a) Superannuation: from the date following the date of expiry of three months from the date of retirement, up to the date of payment of gratuity.
- (b) Retirement otherwise than on superannuation, absorption in PSU/autonomous body, or death during/after service: from the date following expiry of three months from the date of retirement/absorption/death, up to the date of payment of arrears.
- (c) Where gratuity was withheld on account of pending proceedings and the retiree is fully exonerated: from the date following expiry of three months from the date of retirement, up to the date of payment.
- (d) Where the retiree is not fully exonerated and the competent authority permits payment in part or full: from the date of expiry of three months from the date of the order, up to the date of payment.

- (e) Where proceedings are dropped consequent upon death of the retiree: from the date of expiry of three months from the date of death, up to the date of payment.
- (f) Where arrears arise from retrospective revision of emoluments or liberalisation of provisions: from the date of expiry of three months from the date of issue of the revising/liberalising order, up to the date of payment of arrears.

Amendment Note — Rule 44 (G.S.R. 258(E) dated 24.04.2025)

Sub-rules (2), (3) and (4) were substituted and an entirely new sub-rule (5) was inserted prescribing the precise dates from which interest is payable in six distinct factual scenarios. The interest framework is now substantially more rigorous and predictable than the pre-amendment text.

Rule 45 — Recovery and adjustment of Government dues

It shall be the duty of the Head of Office to ascertain and assess Government dues payable by a Government servant due for retirement, and by the Government servant who has retired or is retiring otherwise than on attaining the age of superannuation, and effect their recovery from the gratuity. Government dues include outstanding dues pertaining to Government accommodation (licence fee, water and electricity charges), subletting, unauthorised occupation, transfer to an ineligible office, dues in respect of electricity, water and PNG charges, in addition to other dues recoverable under any rule for the time being in force.

Rule 46 — Adjustment and recovery of dues pertaining to Government accommodation

(1)(a) In the case of a Government servant due for retirement on superannuation, the Directorate of Estates shall, on receipt of intimation from the Head of Office under sub-rule (1) of Rule 35, scrutinise its records and inform the Head of Office within a period of two months if any licence fee was recoverable in respect of the period prior to eight months of his retirement.

- (b) In the case of retirement otherwise than on superannuation, the Directorate of Estates shall inform the Head of Office within a period of one month from the date of receipt of intimation under sub-rule (2) of Rule 35.

- (c) If no intimation in regard to recovery of outstanding licence fee is received by the Head of Office by the stipulated date, it shall be presumed that no licence fee was recoverable.

(7) The Directorate of Estates shall ensure that a 'No Demand Certificate' is given to the Government employee within fourteen days from the actual date of vacation of the Government accommodation. The allottee shall be entitled to payment of interest (at the rate applicable to Public Provident Fund deposits) on the excess withheld amount of gratuity, after adjusting arrears of licence fee and damages, payable by the Directorate of Estates through the concerned Accounts Officer from the date of application for the certificate after vacation of the accommodation, up to the date of refund of the excess withheld gratuity.

Rule 47 — Date of commencement of payment of gratuity

The Head of Office shall, in accordance with Rule 46, draw the amount of gratuity and disburse it not later than the date of retirement of the Government servant in the case of retirement on superannuation, or — in cases of retirement otherwise than on superannuation — immediately on retirement or when the fact of retirement is known to the Head of Office, whichever is earlier.

Rule 48 — Obtaining of claims for death gratuity (Substituted, 24.04.2025)

- (1) Where the Head of Office has received an intimation about the death of a Government servant while in service, he shall ascertain whether any death gratuity is payable under Rule 22 and, if so, the Head of Office shall — (i) ascertain whether the deceased had nominated any person or persons to receive the gratuity; (ii) if no nomination subsists, identify the person(s) to whom gratuity is payable; and (iii) address the person concerned in Form 8 for making a claim in Form 9.
- (2) (a) If on the date of death the Government servant was an allottee of Government accommodation, the dues pertaining to outstanding licence fee payable in respect of the period before the date of death shall stand waived off.
 - (b) Damages, if any, in respect of the Government accommodation shall be recovered from death gratuity. If the Government accommodation is retained by the family of the deceased Government servant, the licence fee for the month of death and the first three months thereafter shall not be recovered from the family.

- (c) The Head of Office shall address the Directorate of Estates within seven days of the date of receipt of intimation of death for the issue of 'No Demand Certificate' in accordance with Rule 54(1).

(3) Where the Head of Office has received an intimation that a Government servant has gone missing, he shall ascertain whether any gratuity is payable in respect of the missing Government servant in accordance with the provisions of Rule 33.

(4) (a) In the case of a missing Government servant, the Head of Office shall take action under sub-rule (1) and address the eligible member of the family to make a claim for gratuity in Form 4. (b) The claims shall be submitted after a report has been lodged with the police and a report has been obtained from the police that the Government servant could not be traced. (c) Claims shall be accompanied by an Indemnity Bond in Proforma B with copies of the police report and the police's untraced report. (d) The Head of Office shall not wait for a death certificate and shall initiate action on receipt of intimation or credible information about death.

Rule 49 / 50 / 53 – Procedural rules on death gratuity

These rules contain detailed provisions on (a) preparation of papers and stage-wise action by the Head of Office on receipt of intimation of death or disappearance, (b) sanction of provisional death gratuity by the Head of Office (now within three months of death – Rule 50 – earlier six months), and (c) authorisation of final death gratuity by the Accounts Officer, with the verification of correctness of emoluments confined to a maximum of one year preceding the date of death or disappearance.

Amendment Note – Rules 49, 50 and 53 (G.S.R. 258(E) dated 24.04.2025)

Rule 49 – references to “date of death” extended to “date of death or disappearance” throughout, to align with the new missing-employee regime in Rule 33.

Rule 50 – outer limit for the Head of Office to sanction provisional death gratuity reduced from six months to three months.

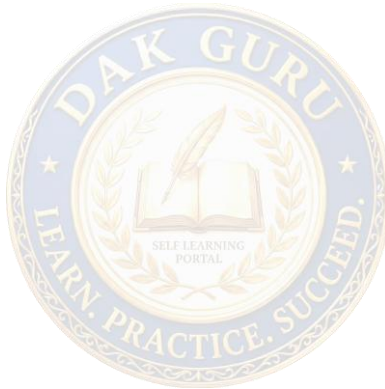
Rule 53 – verification of correctness of emoluments confined to one year preceding the date of death/disappearance, and a new clause (c) permits de-linking of claims so other eligible family members are not held up.

Rule 54 – Adjustment and recovery of dues in case of death

(1)(i) Within 14 days of the date of death or disappearance, the Head of Office shall write to the Directorate of Estates for issuance of a 'No Demand Certificate'. While calculating the dues, the dues pertaining to outstanding licence fee payable in respect of the period before the date of death shall be waived off, and where the family retains the accommodation after the death, the licence fee for the month of death and the first three months thereafter shall not be recovered from the family.

- **(iii)** The family will be permitted retention of the Government accommodation for the permissible concessional period.
- **(iv)** The Directorate of Estates shall communicate its 'No Demand Certificate' within one month (earlier two months).

(2) Death gratuity due to the eligible family member(s) shall be drawn and disbursed within fifteen days (earlier one month) of the receipt of the Accounts Officer's authorisation, after adjustment of all outstanding dues.



Chapter VII – Quick Revision Capsule

Key Numerical Provisions at a Glance

Provision	Value / Threshold
Date of commencement of rules	23.09.2021 (G.S.R. 658(E))
Date of 2025 Amendment Rules	24.04.2025 (G.S.R. 258(E))
Effective date of Unified Pension Scheme (UPS)	01.04.2025 (DFS Notification dated 24.01.2025)
UPS — extension of gratuity benefits	DoPPW OM dated 18.06.2025
₹25 lakh ceiling OM	DoPPW OM dated 30.05.2024
Resignation clarification OM	DoPPW OM dated 24.10.2025
Coverage-of-offices clarification OM	DoPPW OM dated 24.10.2025
Military service / re-employment OM	DoPPW OM dated 26.12.2025
Minimum qualifying service for retirement gratuity	5 years
Deemed five-year service rounding (new)	4 years 9 months or more counted as 5 years
Fraction-of-year rounding	3 months or more = one completed six-monthly period
Rate of retirement gratuity	1/4 of emoluments per completed six-monthly period
Maximum retirement gratuity	16½ times emoluments OR ₹25 lakh, whichever is less
Maximum death gratuity (20+ years)	33 times emoluments (subject to ₹25 lakh cap)
Gratuity ceiling enhancement effective from	01.01.2024 (₹20 L → ₹25 L)
Trigger for ₹25 L ceiling	Dearness Allowance reaching 50%
Average emoluments — reference period	Last 10 months
Verification of qualifying service	After 18 years of service AND 5 years before superannuation

Provision	Value / Threshold
Missing employee — police report waiting period	6 months (for retirement gratuity)
Missing employee — death gratuity available after	Death conclusively established OR 7 years from police report (whichever is earlier)
Residuary gratuity — death within	5 years from retirement
Residuary gratuity — deficiency threshold	12 times emoluments
Provisional gratuity on compulsory retirement	2/3 of full superannuation gratuity
Compassionate gratuity on dismissal/removal	Up to 2/3 of retirement gratuity
Final decision on compassionate gratuity — within	3 months of dismissal/removal order
Accounts Officer — payment authorisation within	45 days of receipt of Form 6
Provisional gratuity sanction within	1 month of submission of forms
Emoluments verification — look-back period	24 months
Interest on delayed gratuity — clock starts after	3 months from the relevant trigger date
No Demand Certificate — Directorate of Estates response	2 months (superannuation) / 1 month (otherwise)
Provisional death gratuity sanction within	3 months (earlier 6 months)
Draw and disbursement of death gratuity within	15 days (earlier 1 month)

Death Gratuity Table — Mnemonic

A handy mnemonic for the slab structure of death gratuity (Rule 22(2)):

- **< 1 year** → 2× emoluments
- **1 to < 5 years** → 6× emoluments

- **5 to < 11 years** → 12× emoluments
- **11 to < 20 years** → 20× emoluments
- **≥ 20 years** → Half emoluments per completed six-monthly period, max 33× emoluments

Mnemonic: “Two, Six, Twelve, Twenty, Thirty-three” — the maxima rise in a memorable arithmetic progression.

Family Hierarchy under Rule 22(5) — Memory Aid

Eleven categories grouped logically:

- **Spouse:** (i) wife/wives; (ii) husband (each including judicially separated)
- **Children:** (iii) sons; (iv) unmarried daughters; (v) widowed/divorced daughters (all including step- & adopted)
- **Parents:** (vi) father; (vii) mother (each including adoptive parents)
- **Dependent siblings:** (viii) brothers — disabled (any age) or below 18; (ix) unmarried, widowed and divorced sisters
- **Others:** (x) married daughters; (xi) children of a pre-deceased son

Statutory Cross-References to Remember

- **FR 9(21)(a)(i)** — definition of basic pay (forms the core of “emoluments” under Rule 6)
- **FR 56** — retirement in advance of superannuation (referenced in Rules 22 and 29)
- **Rule 10 of CCS (Implementation of NPS) Rules, 2021** — option to avail benefits under CCS (Pension) Rules, 2021 or CCS (Extraordinary Pension) Rules, 2023
- **Rule 12 of CCS (Implementation of NPS) Rules, 2021** — premature retirement (cross-referenced in Rules 22, 29 and 32A)
- **Section 20 of the Rights of Persons with Disabilities Act, 2016** — invocation in Rule 28 proviso
- **CCS (Conduct) Rules, 1964 / CCS (CCA) Rules, 1965** — definition of “misconduct” in Explanation to Rule 5

Gist of Rules/Amendments :-

- **DoPT OM No. 25013/6/2001-Estt.(A) dated 28.02.2002** — Special Voluntary Retirement Scheme for surplus employees (Rule 29)
- **DoPPW OM No. 7/5/2012-P&PW(B) dated 12.02.2020** — Counting of past service for gratuity under NPS; State + Central combined gratuity ceiling
- **DFS Notification No. FS-1/3/2023-PR dated 24.01.2025** — Introduction of the Unified Pension Scheme (UPS) as an option under NPS, effective 01.04.2025
- **G.S.R. 258(E) dated 24.04.2025** — CCS (Payment of Gratuity under NPS) Amendment Rules, 2025
- **DoPPW OM No. 28/03/2024-P&PW(B)/Gratuity/9559 dated 30.05.2024** — Enhancement of gratuity ceiling to ₹25 lakh w.e.f. 01.01.2024
- **DoPPW OM No. 57/01/2025-P&PW(B)/UPS/10498 dated 18.06.2025** — Extension of Retirement Gratuity and Death Gratuity to UPS-covered employees
- **DoPPW OM No. 2/8/2025-P&PW(F)/11164 dated 24.10.2025** — Clarification on eligibility for gratuity on resignation
- **DoPPW OM No. 2/9/2025-P&PW(F)/11185 dated 24.10.2025** — Clarification on coverage of offices (rules apply only to CG civilian employees)
- **DoPPW OM No. 28/03/2025-P&PW(B)/10865 dated 26.12.2025** — Clarification under Rule 4A on military service / PSU / autonomous body re-employment gratuity

Examination Practice Pointers

- Distinguish carefully between “emoluments” (Rule 6) and “average emoluments” (Rule 7) — gratuity computation uses emoluments + DA admissible on the date of retirement/death, NOT average emoluments.
- Remember that ‘gratuity’ now expressly includes **retirement, death and residuary gratuity** after the 24.04.2025 amendment.
- Resignation forfeits past service; only technical resignation (Rule 17(2)), deemed retirement (Rule 17(5)) and absorption (Rule 32) protect gratuity entitlement.
- The competent authority for withholding gratuity under Rule 5 is no longer the President alone — it is now the President (for posts where President is the

appointing authority), the Secretary (for other posts), or the C&AG (for IA&AD).

- UPS subscribers are eligible for both retirement gratuity and death gratuity under these rules — by virtue of DoPPW OM dated 18.06.2025.
- Gratuity drawn for military service is **not** counted while applying any ceiling on gratuity for subsequent civil service — DoPPW OM dated 26.12.2025.
- The ₹25 lakh ceiling and these rules apply only to Central Government civilian employees — not to PSUs, banks, RBI, port trusts, autonomous bodies, universities, etc. — per DoPPW OM dated 24.10.2025.

